

HOUSE BILL 1045

By Shaw

AN ACT to amend Tennessee Code Annotated, Title 56,
relative to creditor claims to insurance proceeds.

WHEREAS, the Tennessee Supreme Court has repeatedly advised that "each word in a statute has a specific purpose and meaning" in cases such as *State v. Gevedon*, 671 S.W.3d 537 (Tenn. 2023), *Arden v. Kozawa*, 466 S.W.3d 758 (Tenn. 2015), *Cunningham v. Williamson Cnty. Hosp. Dist.*, 405 S.W.3d 41 (Tenn. 2013), and *Lee Med., Inc. v. Beecher*, 312 S.W.3d 515 (Tenn. 2010); and

WHEREAS, certain members of the Tennessee bar and judiciary have questioned the meaning of the phrase "for the benefit of" and, if this conduct continues, retirees will be discouraged from moving into Tennessee; and

WHEREAS, the phrase "for the benefit of" is used to indicate that something is done for the advantage of someone or something. In financial and legal contexts, FBO stands for "for the benefit of" and is often used in living trust documents or accounts with beneficiary designations; and

WHEREAS, per the *Merriam-Webster* dictionary, the plain definition of the word "beneficiary" is "the person named (as in an insurance policy or annuity) to receive the proceeds or benefits"; and

WHEREAS, the definition of the word "all" has been questioned and restricted by certain members of the Tennessee bar and judiciary, despite the clear directive of the Tennessee Supreme Court to use the plain meaning of each word in a statute without restriction in decisions such as *Lind v. Beaman Dodge, Inc.*, 356 S.W.3d 889 (Tenn. 2011), and if this conduct continues, retirees will be discouraged from moving into Tennessee; and

WHEREAS, per the *Merriam-Webster* dictionary, the plain definition of the word "all": as an adjective, is "the whole amount, quantity, or extent of; as much as possible; every member or individual component of; the whole number or sum of; every, any whatever, completely taken up with, given to, or absorbed by"; as a pronoun, is "the whole number, quantity or amount; totality, everybody, everything"; and as a noun, is "the whole of one's possessions, resources or energy"; and

WHEREAS, *Black's Law Dictionary* defines "all" as "the whole of – used with a singular noun or pronoun, and referring to the amount, quantity, extent, duration, quality or degree. The whole number or sum of – used collectively, with a plural noun or pronoun expressing an aggregate. Every member of an individual of (sic) individual component of; each one of – used with a plural noun. In this sense, all is used generically and distributively (sic). 'All' refers rather to the aggregate under which the individuals are subsumed than to the individuals themselves."; and

WHEREAS, Tennessee Code Annotated, Section 56-7-203, was introduced in 1925 and last modified in 1932, prior to the introduction of the "Personal Property Owner's Rights and Garnishment Act of 1978", compiled in Tennessee Code Annotated, Title 26, Chapter 2, Part 1; and

WHEREAS, these questions bring uncertainty to Tennesseans trying to plan for retirement and may be a deciding factor among those seeking retirement in the Southeast when choosing a state to which to retire; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-7-203, is amended by deleting the section and substituting:

The net amount payable under any policy of life insurance or under any annuity contract upon the life of any person made for the benefit of, or assigned to, the spouse

or children, or dependent relatives of the persons, is exempt from all claims of the creditors, including execution, attachment, seizure, and garnishment, of the person arising out of or based upon any obligation created after January 1, 1932, whether or not the right to change the named beneficiary is reserved by or permitted to that person.

Use of exempt funds does not change the classification of the funds used from exempt to nonexempt.

SECTION 2. This act takes effect July 1, 2025, the public welfare requiring it.